# Introduction

WHILE THIS BOOK REVOLVES AROUND the history of five banking institutions and the role played by six eminent banking personalities in the twentieth century, it will be useful to first briefly trace the history of banking in India.

## A Brief History of Banking in India

The year 1860, or one of its close neighbours, marks a watershed not only in the political sphere but also in the economic and financial fields. In the latter, the watershed is marked by the introduction of Railways and factory industry in the mid 1850s, by James Wilson's reform of the Central Government's finances in the early 1860s, and by the extension of the principle of limited liability to banking.

In 1860, western-type financial institutions were limited to about a halfdozen commercial banks which coexisted with hundreds of indigenous banks and thousands of rural moneylenders. The British applied the term indigenous bankers to all kinds of private bankers, moneylenders, banking or moneylending firms, with the distinction that the 'banker' in addition to making loans, received deposits and dealt in *hundis*. The moneylender, on the other hand, only advanced loans and did not usually receive deposits or deal in *hundis*. Indigenous banking remained confined to certain castes principally the Vaishyas and Jains, both spread all over the country; the Chettis of Madras; the Marwaris of Rajputana and Central India; the Shikarpuris and Multanis of Sind and Bombay; the Bohras of Gujarat; and